

Week 41 -- Deep Research (Full)

Date: 2026-06-21 (Sunday) | Week: 41 of 52 | Execution session: Monday 2026-06-22

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1. RESTATED RULES

- Universe: U.S.-listed common stock $\leq$ \$2B, NYSE/NASDAQ/NYSE American. Long-only, full shares, no options/margin/shorting.
- Exclusions: OTC, ETFs/ETNs/closed-end funds/SPACs, warrants/units/preferreds/ADRs, bankrupt/halted, defence, Israeli-affiliated.
- Risk control: stop on every position; stop-out $\leq$ 5% of equity; no single name $>$ 30%; maintain $\geq$ 15% cash reserve.
- Sector cap: $\leq$ 2 positions per GICS sector.
- Catalyst plays: confirmed catalyst within 60 days; date-certain binary = publicly announced date/deadline with a pass/fail $\geq$ 20% move (vague "Q3 2026" timelines do NOT qualify).
- Entry discipline: screener picks start at 2/5 conviction, rising only on independent verification; post-earnings cooldown; distance-from-base limits; No-Candidates rule -- if nothing passes all filters, hold cash, don't force trades.

2. RESEARCH SCOPE

- Retrieved: 2026-06-21 via live web search; prices as of Thursday 2026-06-18 close.
- Holdings reviewed: WKC, SHO, TDAY, INN, TILE.
- Screener watchlist (15, healthcare-heavy 8/15) evaluated across sectors: CDNA, SLDB, SVRA (Healthcare); ZD, SCHL (Comm Svcs); AMBQ (Tech); VITL (Cons Defensive); WBI/WKC (Energy); TILE (held). Plus AMLX (Healthcare) -- the 6th-slot watch candidate carried from Week 40.
- Regime: IWM $\sim$ \$293 vs 50-day $\sim$ \$279 -> above; small-cap "Great Rotation" leadership is a tailwind for our value/cyclical tilt. Iran blockade ended (Hormuz reopened) -- confirms the IMPP exit.

3. CURRENT PORTFOLIO ASSESSMENT

Ticker	Role	Entry Date	Avg Cost	Current Price	Current Stop	Conviction	Status
WKC	Energy	2026-04-27	\$26.00	\$31.12	\$29.20	4/5	Keep -- +19.7%, nearing +30% partial (~\$33.80)
SHO	Real Estate	2026-05-18	\$10.20	\$11.91	\$10.90	4/5	Keep -- +16.8%, new high, World Cup RevPAR lift
TDAY	Comm. Services	2026-06-08	\$8.15	\$7.88	\$7.20	3/5	Keep -- recovered ?6.7%->?3.3%, AI thesis intact
INN	Real Estate	2026-06-08	\$5.75	\$6.63	\$5.90	4/5 ?	Keep -- +15.3%, FIFA

delivering, stop raised 6/16

TILE	Consumer Cyclical	2026-06-15	\$32.10	\$32.56	\$28.70	3/5	Keep -- +1.4%, min-hold cleared, entry validated
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Sector exposure: Energy 1 (WKC) · Real Estate 2 (SHO, INN) -- at cap · Comm Svcs 1 (TDAY) · Consumer Cyclical 1 (TILE).
A 6th position may come from Healthcare / Tech / Energy / Comm Svcs / Cons Defensive -- not Real Estate.

4. CANDIDATE SET

Ticker	Sector	One-Line Thesis	Key Catalyst	Confirmation	Liquidity
AMLX	Healthcare	Avexitide Phase 3 binary in post-bariatric hypoglycemia	LUCIDITY topline Q3 2026 (enrollment complete, 78 pts)	Confirmed, but "Q3" not date-certain / may exceed 60d	\$1.6B [OK]
CDNA	Healthcare	Transplant-dx growth + Naveris oncology MRD pivot	Q1 +39%, raised FY guide -- no binary; extended +21% 20d	Confirmed	\$1.4B [OK]
SLDB	Healthcare	SGT-003 gene therapy for DMD	"mid-2026" readout -- vague, not date-certain; extended +28% 20d	Weak	\$820M [OK]
SVRA	Healthcare	Molgramostim (MOLBREEVI) for autoimmune PAP	PDUFA Nov 22, 2026 -- date-certain but ~5 months out (>60d)	Confirmed	\$1.1B [OK]
ZD	Comm Svcs	Asset monetization (Connectivity -> Accenture \$1.2B) + buybacks	Deal close timing unconfirmed; no dated binary	Confirmed	\$1.7B [OK]
AMBQ	Technology	Ambiq Micro ultra-low-power semis (recent IPO)	No near-term catalyst; recent-IPO volatility;	Thin history	\$1.9B [OK]
VITL	Cons Defensive	Pasture-raised eggs	extended +18% FY guidance, net loss, margin compression -- reject	Confirmed	\$446M [OK]

One-line rejections:

- AMLX -- best binary in spirit and the reserved 6th-slot name, but "Q3 2026" isn't date-certain and may sit beyond the 60-day window; hold for a confirmed dated readout.
- CDNA -- quality grower but no binary catalyst and +21% over 20d (extension risk); momentum-only.
- SLDB -- vague "mid-2026" timing + +28% 20d extension; speculative gene-therapy binary.
- SVRA -- clean PDUFA but Nov 22 is far outside the 30-60d window.
- ZD -- solid value/buyback story, but the Accenture-sale catalyst has no firm close date.
- AMBQ -- recent IPO, no near-term catalyst, extended.
- VITL -- deteriorating fundamentals (guidance cut); screener momentum ? conviction.

- WBI / SCHL / XNCR / PLX / LUCD / BCAX / AVLN -- lower rank, no dated catalyst inside the window; no edge over holding cash.

5. PORTFOLIO ACTIONS

- Keep: WKC, SHO, TDAY, INN, TILE -- all performing, all stops clear.
- Initiate: None. Per the No-Candidates rule, no screener candidate clears both the timing filter (date-certain within 30-60 days) and the cash/conviction bar. Forcing a 6th position would mean selling a healthy winner to fund a vague-catalyst or extended name under a Neutral posture -- poor discipline.
- Trim/Exit: None -- no position is at a partial-profit trigger (+30%) or a thesis break.
- Stops: Hold current levels (WKC/SHO raised Week 40, INN raised 6/16); cushions 6.6%-13.4% are healthy. Trailing triggers documented in §8.

6th slot: reserved for AMLX, pending (a) a confirmed dated Q3 topline that lands inside the window, and (b) cash freed by WKC's +30% partial-profit take (~\$33.80) -- which would fund the entry without breaching the 15% reserve.

6. EXACT ORDERS

No orders for Monday 2026-06-22 -- hold all positions and existing stops.

Conditional / standing orders (alerts, not placed):

- WKC partial-profit alert:
 - Trigger: WKC trades $\geq$ \$33.80 (+30% from \$26.00 entry)
 - Action: place a DAY limit sell for ~1 share (~? of the 2-share position) at the alert price
 - Rationale: capture spike profit per the partial-profit rule; frees ~\$34 toward the 6th-slot (AMLX) funding.
 - AMLX initiation (pre-conditions, not yet actionable):
 - Trigger: Amylyx confirms a dated LUCIDITY topline inside ~60 days AND cash is available above the 15% reserve
 - Action: size as a binary-event play ($\leq$ 15% of equity, $\leq$ 3.75% risk if SMA waiver used), stop at major technical support
 - Rationale: high-conviction Phase 3 binary; reserved for the open 6th slot.
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7. RISK AND LIQUIDITY CHECKS

Concentration (unchanged; equity \$705.97):

Holding	Value	% Equity
INN	\$145.86	20.7%
SHO	\$131.01	18.6%
TILE	\$130.24	18.5%
TDAY	\$126.08	17.9%
WKC	\$62.24	8.8%
Cash	\$110.54	15.7%

- Cash reserve: 15.7% $\geq$ 15% floor [OK] -- only ~\$4.6 deployable above the floor, confirming a 6th position needs freed cash first.
 - Single-name cap: max 20.7% < 30% [OK]
 - Sector cap: no GICS sector >2 [OK]
 - All stops clear: cushions 6.6% (WKC) to 13.4% (TILE).
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8. MONITORING PLAN

- WKC -- +30% partial alert at \$33.80 (would trim ~1 sh and free cash for AMLX); tightest stop cushion (6.6%) -- watch for a high-to-stop reversal.
 - SHO -- new high; raise stop toward ~\$11.10 if it clears ~\$12. World Cup RevPAR lift continuing.
 - INN -- FIFA live through 7/19; stop \$5.90 locks +2.6%. CFO transition still a watch-item; raise stop toward ~\$6.10 if it clears ~\$6.80.
 - TDAY -- confirm recovery holds above ~\$7.80; AI-licensing thesis; stop \$7.20.
 - TILE -- min-hold cleared, green; manage on the 50-day (~\$28); exit on a 200-DMA loss.
 - AMLX -- watch for a dated Q3 topline announcement -> upgrades it from watch to actionable for the 6th slot.
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9. THESIS REVIEW SUMMARY

WKC (World Kinect) -- KEEP | 4/5. Fuel distribution/services compounding on the Q1 beat; re-brand to "World Fuel." +19.7% and approaching the +30% partial zone -- a partial there both books profit and funds the reserved 6th slot. Valuation-capped but momentum intact.

SHO (Sunstone) -- KEEP | 4/5. Upscale hotel REIT at a new high (+16.8%); raised FY outlook, buybacks, and a World Cup RevPAR tailwind (DB: +50-75bp for full-service REITs). Trailing stop discipline; raise on a push through \$12.

TDAY (USA TODAY) -- KEEP | 3/5. AI-licensing surge + digital nearing 50% of revenue + \$100M cost plan. Recovered from the post-entry dip (?6.7%->?3.3%); thesis intact, analyst PTs \$6.75-\$8.

INN (Summit Hotel) -- KEEP | 4/5. FIFA World Cup demand live; +15.3% to a new high; Q2 pace +4%, ~? of rooms in host markets. Stop raised to \$5.90 (locks +2.6%) given the CFO change and the \$6 analyst PT now below price.

TILE (Interface) -- KEEP | 3/5. Beat-and-raise commercial flooring; green (+1.4%) after post-entry digestion, min-hold cleared. Technical entry managed against the 50-day; no dated catalyst, so momentum/trend is the thesis.

Overall. Week 41 of 52, trailing the S&P-equivalent by ~6.2% (narrowed three sessions running; TWR alpha improved to ?1.44%). The book is healthy and small-cap rotation is a tailwind, so the disciplined move is to let the winners run and the catalysts (INN FIFA) play out rather than force a 6th position into a Neutral week with no qualifying catalyst and no deployable cash. The 6th slot stays reserved for AMLX, funded by WKC's eventual +30% partial -- a clean, rule-driven path to deploy without breaching the reserve.

10. CONFIRM CASH AND CONSTRAINTS

- Cash: \$110.54 (15.7%) -- above the 15% floor [OK]; ~\$4.6 deployable, so no 6th position without freeing cash.
- Positions: 5 of max 6 [OK] (slot reserved for AMLX).
- Sector cap: no GICS sector >2 [OK] · Single-name <=30%: max 20.7% [OK]
- No initiations -> no liquidity/sizing violations this week.
- No-Candidates rule applied: held cash with documented reasons; no forced trades. [OK]
- All rules satisfied.

Week 41 deep research generated 2026-06-21 by Claude Code.